

Model Risk Management Policy (extract)

Model definition, tiering, validation and use limitations - aligned to the April 2026 interagency guidance

Document ID	MRM-POL-02
Version / Status	7.0 / Approved - Board Risk Committee
Document owner	Jonathan Price, Head of Model Risk Management
Approver(s)	Board Risk Committee (2026-06-18)
Effective / Last reviewed	Effective 2026-07-01
Classification	INTERNAL - CONFIDENTIAL
Regulatory alignment	Revised interagency Guidance on Model Risk Management issued 2026-04-17 (Federal Reserve SR 26-2; OCC Bulletin 2026-13; FDIC FIL-15-2026), which rescinded SR 11-7 / OCC 2011-12
Related documents	POL-FCC-014; DUS-07; ADR-PAY-026; TDIP-CAT-2026.2

1. Changes in version 7.0

Version 7.0 re-baselines the policy following the April 17, 2026 interagency guidance that replaced SR 11-7. Key changes: a model definition that requires complexity; a formal End-User Analytic (EUA) category for simple calculations; risk-based tiering emphasizing model purpose and exposure; and a dedicated section on vendor models.

2. Definitions

Term	Definition
Model	A quantitative method applying statistical, economic, financial or machine-learning techniques of meaningful complexity to produce estimates or predictions used in decisions or communicated to clients.
End-User Analytic (EUA)	Simple descriptive calculations (counts, medians, percentages over historical data) with no forward-looking estimation. Registered in Archer with business-owner attestation; no independent validation.
Customer-facing estimate	Any forward-looking value shown to a client (e.g., expected delivery time, probability of completion).

3. Tiering

Tier	Criteria	Validation before use
Tier 1	Regulatory, capital, financial-crimes detection, or high financial exposure	Full independent validation; annual review
Tier 2	Customer-facing estimates; models influencing client decisions or treatment	Independent validation; 10-14 weeks typical; 160-240 validator hours
Tier 3	Internal operational models with limited exposure	Targeted validation; 6-9 weeks
EUA	Descriptive only	Registration + attestation (~2 weeks)

Customer-facing estimates are Tier 2 at minimum and may not be shown to clients before validation is complete and use conditions (disclaimers, monitoring thresholds) are approved.

4. Use limitations

- Models and their inputs may be used only for registered purposes. Outputs of financial-crimes models (Tier 1) - including Sentinel fraud scores (M-FCT-0021) and beneficiary mule-risk features (M-FCT-0034) - may not be used for product, marketing or client-facing purposes.
- Vendor models: where developers cannot provide sufficient information, compensating controls and outcome monitoring are required.

5. Inventory extract (Treasury & Payments)

Model ID	Name	Tier	Owner	Status
M-FCT-0021	Sentinel payment fraud score (vendor)	1	Victor Petrov	Validated 2025-12
M-FCT-0034	Beneficiary mule-risk features	1	Victor Petrov	Validated 2026-02
M-TRS-0142	Treasury Insights cash forecast	3 (re-tiering to 2 under v7.0 review)	Wei Zhang	Validated 2025-09 (9 weeks)
EUA-TRS-0007	Ops corridor completion dashboard	EUA	Denise Carter	Registered 2026-05

6. Capacity notice (Q4-2026)

The Tier 2 validation queue is approximately **6 weeks** before work starts. Submissions should include development documentation, data lineage and proposed monitoring. Contact: Sophie Laurent (Validation Lead, Treasury & Operations models).